

When Does It Pay to Be Early?

Evidence from Every US Trademark Filing

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The question

Strategy offers two confident and opposite answers to whether a firm gains by bringing a new kind of offering to market before others do. The first says it does. Firms that create uncontested market space, rather than competing in existing categories, grow faster and earn more (Kim & Mauborgne, 2004); early entrants secure scarce resources, customer loyalty and scale (Lieberman & Montgomery, 1988); and when a new industry's field of entrants is later winnowed, it is the early entrants who survive the shakeout and come to lead it (Klepper, 1997; Klepper & Miller, 1995). On this view, even if later entry, mergers and failures thin a new market, the firms that opened it should be over-represented among its survivors and among the companies that reach public markets.

The second says it does not. Pioneers pay to prove that a market exists, and followers enter behind them at lower cost and risk. Where an innovation is easy to imitate and the pioneer lacks the complementary assets to hold its position, the value it creates is captured by imitators (Teece, 1986); histories of named markets show that the firms remembered as pioneers were usually not the first entrants, because the true first entrants mostly failed (Golder & Tellis, 1993); and in management consulting, where service-mark filings trace which firms copy which new offerings, rivals' new offerings are imitated routinely, the more so when the innovating firm is prominent (Semadeni & Anderson, 2010). A third position holds that neither answer is general: the advantage of being first depends on how quickly the technology and the market are changing (Suárez & Lanzolla, 2007).

These claims have been tested mostly on named markets and on the firms that survived long enough to be studied. The question here is what happens across the whole population of entrants, including the ones that failed: *does being early with a new kind of offering pay, and when does it not?*

The measure

A companion paper (Silver, 2026) re-parses every US trademark filing into dated events and scores each filing's goods/services description on *lead*: whether the firms that filed in the same industry over the following five years described their offerings more like this filing than the firms of the five years before had, so that a leading filing named a kind of offering that became more common after it was filed, and a lagging one named a kind that was becoming less common.

That reading of lead can be checked directly. Every description is scored as a mix of fifty themes, and within each industry the themes' shares of filings shift over time, some growing as others shrink. Take each registration's *primary* theme — the single theme its description draws

on most — and ask whether that theme’s share of its industry’s filings was larger in the five years after it filed than in the five years before. Among the most leading fifth of 2002–2018 registrations, 86% had a primary theme that grew; among the most lagging fifth, 15% did. The figure is not 100% because lead is computed over a filing’s whole mix: a filing can lead because its secondary themes grew while its primary theme held steady, and a lagging filing’s primary theme can grow while the rest of its mix recedes. Leading filings entered offerings that others then crowded into.

What each side predicts

H1 *Early pays.* Leading filings’ products survive longer, and their owners are more likely to raise private money, reach public reporting, list, or be bought. The early entrants who survive a shakeout should be over-represented among the largest firms.

H2 *Early costs.* Leading filings’ products fail more often, and their owners are no more likely, or less likely, to reach the capital markets, because the crowding that makes a filing leading is the competition that erodes its position.

H3 *It depends.* The sign of the lead effect varies with the pace of change, by era and by industry.

The record supplies the outcomes. Product survival is the sworn declaration that a registered mark’s goods are still being sold, due in the fifth to sixth year; the exits are a priced private round after the owner’s first filing, appearance in SEC reporting, an initial public offering, and a recorded sale of the debut mark to another company.

The answer: being early costs, at every stage after registration

Products described early fail more often. Among 3.10 million registrations issued 2002–2018, the most leading fifth were cancelled at the five-year proof 1.4 percentage points more often than the most lagging fifth (53.3% against 51.9%), within industry and year and with drafting, counsel and filer characteristics held ($t = 8.3$). The penalty is positive in three of every four industries and under every construction of the measure tried, and it persists, at about half the size, at the year-ten renewal.

Early firms reach the capital markets less often, not more. Among owners whose first registered filing was made 2009–2018, the most leading fifth raised a priced round after that filing no more often than the most lagging fifth (1.69% against 1.74%), reached SEC reporting less often (0.36% against 0.55%), and listed less often (0.17% against 0.22%). The owners likeliest to report and to list are those whose first description used language their industry was leaving behind — mostly established firms filing a first trademark late.

Early firms are not bought more often either. Listing is not the only way a new market’s winners are rewarded; in a market winnowed by mergers, the firms that opened it could be acquired instead. Recorded transfers of trademark ownership show which debut marks were sold, and between companies such sales are 1.8 times as common as listings (0.31% of debut owners against 0.17%). They do not favour the early. The most leading fifth of debuts had their mark bought by another company slightly less often than the most lagging fifth (0.29% against 0.33%, $t = -2.1$), and bought by an established firm — one holding at least 25 marks — two-thirds as often (0.046% against 0.069%, $t = -3.1$). About half the marks bought stayed in use afterwards, in equal shares across the fifths.

New business models attract money faster than they produce listings. Compared with debuts from the same years — which removes differences in how long each debut has had to list — debuts using a new technology’s vocabulary raised private rounds after their debut far more often, and listed more often too, but by about half as much. Cloud and software-as-a-service debuts were funded 5.4 times as often as same-year debuts and listed 2.8 times as often (80 listings); mobile apps 3.9 and 2.1 times; social media 2.6 and 1.7; internet vocabulary 1.7 and 1.2. Artificial-intelligence and blockchain debuts were funded about six times as often, with too few listings (three each) to say how their listing compares. These vocabularies were chosen with hindsight, because they succeeded, so a listing premium is expected; the telling pattern is that the funding premium exceeds it in every case. Some of the gap is made up by acquisitions: the same vocabularies were bought more often than same-year debuts, and online retail, which listed no more often than its vintage, was acquired about twice as often (87 acquisitions). For emergent consumer products the record is too thin to say much: kombucha debuts were funded 3.4 times as often as same-year debuts, but kombucha, plant-based milk, cold brew and CBD debuts produced no listings and a handful of acquisitions between them.

The road to listing narrowed. Part of the gap belongs to the period rather than to any vocabulary. Owners who debuted in 2011–2013 listed within five years of their debut at 0.06–0.08%; those who debuted in 2017–2018 at 0.04%, over windows that ran into the thin IPO market of 2022–2023.

These results favour H2 over H1. The effect is modest — a leading filing’s product is about 3% more likely to be gone within six years — so being early is a cost to be weighed, not a verdict.

When the rule breaks

In the years after the dot-com crash, leading technology filings survived more often. For technology filings made 2000–2004, the most leading fifth failed less often than the most lagging fifth. Two things produced that reversal. The computer and information-services vocabulary that had led the late 1990s had fallen out of the leading fifth, and its marks failed at among the era’s highest rates; excluding that one theme restores a penalty. And within themes, leading filings in goods and retail were genuinely rewarded: most strongly in online retail, where the most leading fifth failed 8.3 points less often than the most lagging, and also in electronic devices and in media goods. Leading filings in research and scientific services were penalized in the same years. The exception is consistent with H3 — a period of rapid change in how goods reached customers — though this record cannot separate it from the selection of which firms were still filing after the crash.

Unusual is not the same as early. Filings whose language is unusual for their industry survive the proof more often, not less, and filings that carry a theme established in another industry into a new one survive more often than their industry’s average. What the record penalizes is not being different; it is being where the crowd is about to go.

Joining a wave costs little; arriving first within it costs nothing more. Filings that joined a theme whose share of its industry was surging failed only slightly more often than others, and within a wave the order of arrival made no difference. The one corpus-wide surge, online software in 1999, is the exception: its filings failed 8.6 points more often than their industry and year.

Among the few firms that grew very large, being early neither helped nor hurt. Of the 500 highest-revenue firms the record links to SEC filings, 20% debuted in the most leading fifth, the share chance would give.

What the answer does not say

Lead measures the position of a firm’s language relative to its industry’s, not the novelty of its product, and crowding in language is not crowding in market share. A filing can lead because others imitated it, because all of them responded to the same outside change, or by coincidence. Acquisitions are seen only through recorded transfers of the debut mark between companies, without their price: a hand check of sampled transfers suggests about seven in ten are genuine sales of a business or brand, the rest restructurings or brand trading between small sellers, and a sale that was never recorded is missed. And the socially valuable part of early entry may be the one the record cannot price: the language each industry eventually adopted was first filed, disproportionately, by firms that did not survive to use it (Kerr et al., 2014).

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